Likewise, the debt and liabilities trajectory moved in the opposite direction than expected while fixing the deadline of 2024–25 to achieve a 40 per cent debt to GDP ratio.

The Economic Survey 2020–21 argued for debt-funded growth, singing the virtues of growth, however funded, over the irritants of fiscal deficits, debts and credit ratings. While the finance minister talked about introducing an amendment to the FRBM Act in the Budget speech, in effect the Act has been given a literal burial. With the government talking of continuing ‘with our path of fiscal consolidation’ and intention ‘to reach a fiscal deficit level below 4.5 per cent of GDP by 2025–2026’, the FRBM Act is as good as dead.

Eliminate All Non-Market Borrowings?

India’s Central Government Market Loans Were a Little Less than 60 Per Cent in 2019–20

Taking Budget numbers into consideration, India’s market loans (these are made up of government securities issued for terms higher than one year, that may also go up to forty to fifty years) were Rs 59.86 lakh crore in 2019–20. In addition, the outstanding amount of treasury bills (short-term government securities of less than one year; usually for three months) were for Rs 6.14 lakh crore. Together, these market borrowings constituted Rs 66 lakh crore of liabilities. As total liabilities were Rs 102.47 lakh crore, the longer-term market borrowings were a little higher than 58 per cent of total liabilities, whereas total market borrowings were 64.4 per cent.

The rest of borrowings were made up of myriad sources of funding. These borrowings included Rs 2.51 lakh crore worth of special securities issued to PSBs to fund their recapitalization, and securities issued to NSSF against borrowing of small savings of Rs 8.49 lakh crore.